

Members of the Senate Committee on Commerce, Science and Transportation,

The Association of National Advertisers (ANA), representing a broad cross section of advertisers in the United States, has a strong interest in the current legislative debate concerning Section 13(b) of the FTC Act following the Supreme Court's decision in *AMG Capital Management LLC. vs. Federal Trade Commission*. *As you know, the Court in that case stated that Congress had not provided the Federal Trade Commission (FTC) disgorgement and restitution authority under Section 13(b)*. Rather, when Section 13(b) was enacted, Congress authorized the FTC to seek additional remedies in court, including both temporary and permanent injunctions. However, for many years, the FTC relied on its authority under § 13(b) to seek and obtain fines, in the form of disgorgement and restitution, and those actions were upheld by the courts until the recent Supreme Court decision.

ANA believes that there are legitimate reasons to augment the FTC's enforcement power under Section 13(b), including adding equitable relief in the form of restitution and disgorgement. However, this enforcement power needs to be limited to cases involving bad actors who seek to separate consumers from their money and abscond with ill-gotten gains. Where business interests have inadvertently violated Section 5 of the FTC Act, the FTC should impose a consent decree before seeking monetary damages. This has been the FTC's traditional approach. Creating this clear demarcation in treatment of bad actors and companies attempting to comply with the law is desirable and will induce companies to adhere to the requirements of the FTC Act; both consumers and business benefit when bad actors are punished.

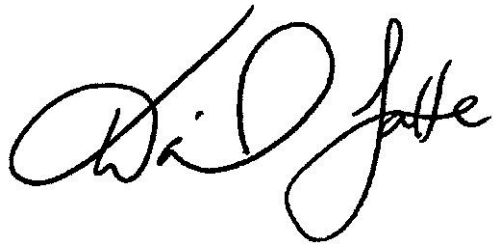
The Section 13(b) fraud program led the FTC to seek equitable monetary relief in court to deal with those who evade the law. This was beneficial, because other avenues for monetary relief under the FTC Act are time-consuming and would not necessarily stop those committing violations from benefitting from their ill-gotten gains. This process was not meant to bypass the role of administrative actions, such as enforcement and consent decrees, through which the FTC incrementally develops legal standards. But there have been instances where legitimate companies have faced substantial monetary penalties, and the FTC and these companies would have been better served by having avoided costly litigation through use of a consent decree.

During her confirmation process, FTC Chair Lina Khan stated that, "the Commission should have the ability to enjoin lawbreaking and secure redress for victims of illegal activity. The FTC has traditionally used its Section 13(b) authority to prevent unlawful conduct and obtain monetary relief... Further weakening of this authority would likely limit the FTC's ability to secure monetary redress and to ensure that entities do not profit from lawbreaking." Pending legislation proposes to amend Section 13(b) to allow the FTC to obtain injunctive and equitable relief, including restitution for losses, contract reformation, monetary refunds, and the return of property. Congress can now act responsibly to give the FTC the explicit tools it needs, hopefully by adopting a measured, balanced approach that leads to more innovation, more competition, and more consumer protection. By carefully distinguishing between those who attempt to comply with the law and those who evade it, Congress can provide the FTC with the ability to freeze assets and seek other monetary, equitable relief from bad actors intent on harming consumers, while also

ensuring that companies operating within the law have clear guidance as to what is required to comply with the FTC Act.

ANA is ready to work with you toward the adoption of such a balanced and desirable result. Please do not hesitate to contact me to discuss this matter if you would find that useful.

Sincerely,

A handwritten signature in black ink, appearing to read "Dan Jaffe". The signature is fluid and cursive, with the first name "Dan" and last name "Jaffe" clearly distinguishable.

Dan Jaffe
Group Executive Vice President, Government Relations
Association of National Advertisers (ANA)